

Does that give you an idea of the immense power of compound interest? To further demonstrate the immense power of compounding let me give you a more apt real life example, which you can do alongside as you read. Pull out an A4 sheet of paper. Fold it in half. That's your first fold. Now, fold it in half once again for the second fold. Imagine that you could fold it into half for another 48 times (that is a total of 50 times). I know it is not practical to make so many folds on an A4 sheet, but let us imagine that you were able to do so. Next, guess and write down the approximate thickness of this sheet after 50 folds.

Well, make a guess – a few centimetres, a few metres, 100 metres, 1 kilometre?

The correct answer is that the stack of paper would be so thick that it will reach from here to the sun! That is approximately 150 million kms. And no prizes for guessing the fact that though it took 50 folds to reach the sun, it just takes one additional fold to double the thickness and come back from the sun to earth. It is hard to believe, but this is exactly why most people who may know the definition of compound interest never "really" understand and appreciate its true power.

By definition, compounding means earning interest on interest.

It is the easiest way to accumulate a lot of money. I say "the easiest" because you do not have to work for this explosion of money. It grows all by itself. All you have to do is leave the money untouched. One should neither touch the principle nor the interest. This will allow the money to grow in a compounded manner, at its fastest pace. I started with this concept very early in the earning phase of my life but unfortunately was not financially literate enough at that stage to understand the importance and significance of compounding. So, as it happens with most of us, I could not adopt the discipline of "leaving the money alone," and started using the accumulated amount in bits and pieces for the so called "necessary" activities at home, like renovation of the house, my wedding, etc.

After 15 years of earning, saving and spending money, I was back to square one. I hardly had any wealth accumulation. It was only in 2007 (I was 34 by then) when I seriously started working on my financial freedom. It was during this period, I read many books on financial freedom, wealth